

liberalized trade regime to another country in lieu of concrete steps to protect the environment by the government of that country. As we have discussed earlier, “Contemporary Regionalism” stresses on FDI and hence, deeper integration leads to higher degrees of **investments**. Along with FDI, **technology transfers**, also take place.

14.6 EQUILIBRIUM STRUCTURE OF REGIONAL TRADING AGREEMENTS

Regional trade agreements are reciprocal agreements between two or member countries or trading partners that determine the extent of economic integration. RTAs signed between members lead to deeper economic integration between them by lowering tariff and non-tariff barriers and facilitating trade among other gains as discussed earlier. An important characteristic of RTAs is that they are dynamic in nature. In other words, RTAs change in their structure over time. RTAs expand either horizontally (increase the number of members) or vertically (increasing the degree of economic cooperation among existing member countries) or both simultaneously.

14.6.1 Horizontal Expansion

Horizontal expansion (or expansion) of an RTA refers to an increase in the number of members in the RTA. To understand the nuances of this type of change in the structure of an RTA, we first need to understand the basic principle of regionalism followed by RTAs while considering expansion decision.

There are two types of regionalism followed in the world regarding expansion decision of an existing RTA. When any country can join an existing RTA, without requiring the consent of the existing members of that RTA, we call it a case of **Open Regionalism**. That is, the RTA is open to membership to the group. The EU and the USA apparently follows Open Regionalism provided some conditions are satisfied by any potential member *ex ante*. For example, the EU is open to any European nation as long as that potential member satisfies the Copenhagen membership criteria (declared in 1993). The Copenhagen criteria require that any potential member country must have the institutions to preserve democratic governance and human rights, have a functioning market economy and accept the obligations and intent of the European Union. So far the USA is concerned; any country ready to accept the US template FTA will be provided accession as an FTA partner. The template now includes open agriculture markets, intellectual property rights and services. Thus, we can see that, in reality, no country or RTA follows this type of regionalism in practice.

The other type of regionalism requires all the existing member countries of an RTA to agree to giving membership to a potential member country. Now, when a non-member country wants membership of an existing RTA, broadly two things can happen – (1) it is granted accession to the RTA and the initial non-member

country becomes a new member of the RTA or (2) it is not offered accession and the non-member remains a non-member. That is, the decision of the initial member countries of the existing RTA plays a crucial role in the expansion decision. This type of regionalism is known as **Unanimous Regionalism**.

As a result, the horizontal expansion of an RTA depends completely on the type of regionalism – open or unanimous – that the RTA follows. Now, as an existing RTA gets bigger and bigger in size (in terms of members), it becomes more costly for the countries outside the RTA and as per Contemporary Regionalism, these non-member countries would abandon their anti-market, closed-economy policies and adopt reforms that will permit them to join the RTA.

The most prominent example of Horizontal expansion is the ASEAN. When the group was formed in 1967, it consisted of Singapore, Malaysia, the Philippines, Thailand and Indonesia. However, it gave accession to five more members – Brunei in 1984, Vietnam in 1995, Laos and Myanmar in 1997 and Cambodia in 1999. Further, Papua New Guinea and East Timor are presently observer nations and backed by a set of ASEAN members for membership in the ASEAN.

14.6.2 Vertical Expansion

Vertical expansion (or consolidation) of an RTA refers to deepening of economic cooperation among existing members of an RTA. Thus, cases like a PTA over time becoming an FTA or an FTA becoming a Customs Union over time are examples of vertical expansion of an RTA.

The most prominent example of vertical expansion is that of NAFTA. NAFTA was established in 1994 and aimed at lowering of tariffs in several product areas. This agreement also aimed at phasing out slowly the cross-borders barriers to trade and investment across the three countries over time. The scope of the products covered under this agreement also increased overtime.

14.6.3 Simultaneous Expansion

This is the case when an existing RTA evolves over time, deepening economic cooperation among member countries and giving accession to new members simultaneously. Thus, one can think of an FTA becoming a Customs Union over time and increasing the number of member countries of the RTA.

The classic example of simultaneous expansion is that of the European Union. The EU not only increased the number of members in the union but also increased the degree of economic cooperation among the union members. As briefly discussed earlier, the history of the European Union can be traced back to the formation of the BENELUX customs union between Belgium, the Netherlands and Luxembourg. This was followed by the formation of the European Coal and Steel Community (ECSC) in 1951 which aimed at eliminating tariffs and quotas in iron ore, coke, coal and steel within the six member nations (Belgium, France, West Germany, Italy, Luxembourg, and the

Netherlands) and imposing a common external tariff on imports of these items from other countries. The countries then consolidated their cooperation further by signing two Treaties of Rome in 1957; one treaty established the European Economic Community (EEC) and the other formed the European Atomic Energy Commission (Euratom) for joint research, cooperation, and management in that field. The formation of the EEC was another leap forward with establishing a Common Market among the member nations. The two treaties went into effect on January 1, 1958, with the earlier Treaty of Paris becoming the constitution of the European Community. The ultimate objective was the formation “of an integrated market for the free movement of goods, services, capital, and people”. In 1973, the EEC was enlarged to include Denmark, Ireland, and the United Kingdom. Greece joined in 1981, followed by Portugal and Spain in 1986. Also, the Single European Act was signed in 1986. Eventually in 1993, the European Community was established with the signing of the Maastricht Treaty. This step was intended to expand economic, political and social integration among the members and finally an EMU was formed. In 1995, Austria, Finland, and Sweden joined the EU. On the midnight of 1st January, 1999, the common currency Euro was launched which came into circulation in 2002. In 2004 Cyprus, the Czech Republic, Estonia, Hungary, Latvia, Lithuania, Malta, Poland, Slovakia and Slovenia joined the European Union followed by Bulgaria and Romania in 2007. In 2013, Croatia became the 28th EU member. Of these 28 members, 19 countries have adopted the Euro as their currency.

14.6.4 Address Game

Now, one more question remains. What would an existing RTA do? Which type of expansion – horizontal, vertical or simultaneous – will it choose? As one can understand, the answer would depend on a number of factors like technology of production, market size, institutional parameters etc.

The equilibrium structure of an RTA can be simply explained using the address game. Let's assume that there are four countries in the world. Each nation can choose from four addresses exogenously given to them. Hence, there are four options possible. Each nation can choose one exclusive address such that each has its own address. Let's depict this situation as {1, 1, 1, 1}. This is the case when no country is in an RTA, all of them are operating individually setting unilateral tariffs and non-tariff barriers on each other's exports. The second option is that two nations choose one common address such that in each address there are two countries. Let's depict this option as {2, 2}. This is the case when there are two RTAs in the world with two countries in each of the RTAs. A third option is three nations choosing one common address while the fourth choosing another. Let's depict this option as {3, 1}. This is the case when three countries form one RTA while the fourth country is a non-member. The last option is when all countries choose the same address and we depict that as {4}. This is the case of global free trade.

Now, let's assign the following pay-offs to the countries under these four options—

Option {1, 1, 1, 1} would yield a pay-off of 10 each such that we have {10, 10, 10, 10}.

Option {2, 2} would yield a pay-off of 13 each such that we have {13, 13}

Option {3, 1} would yield a pay-off of 23 each to the member countries and 3 to the non-member such that we have {23, 3}

Option {4} would yield a pay-off of 20 each such that we have {20}

Now, the above game can be solved either through a simultaneous move game or a sequential move game. In the simultaneous move game, all the four nations take the decision simultaneously. In the sequential move game, one country moves first followed by the second, followed by the third and finally by the fourth country.

Now, it can be easily checked that if the countries move simultaneously, then option {4} with pay-offs {20} each is the unique Nash equilibrium as pay-offs 10 and 13 are strictly less than 20 while, the possibility of getting 3 makes {3, 1} a dominated strategy. Hence, if all the countries in the world simultaneously take a decision of forming an RTA, global free trade would be the Nash Equilibrium outcome.

However, option {3, 1} with pay-offs {23, 3} turns out to be the Sub-game perfect Nash Equilibrium when countries move sequentially. This is intuitively very straight forward. It would be more profitable for any country to accept the offer made by the first mover country as pay-off {13} is larger than pay-off {10}. Thus, in the first stage, one RTA with two members is formed. In the next stage, this RTA would offer accession to the third country and it will again accept as a pay-off {23} is greater than {10} or {13}. However, after an RTA with three members is formed, that RTA will not offer membership to the fourth country as {20} is less a pay-off than {23}. Thus, if we consider unanimous regionalism and a sequential move game, {3, 1} would be the equilibrium structure and the RTA will have three members with the fourth country remaining as a non-member.

Thus, the number of members in an RTA will depend on whether the game is played simultaneously or sequentially and whether the RTA follows open or unanimous regionalism.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Highlight the emergence of RTAs.

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2) Explain the process of Trade Creation.

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3) Briefly discuss the dynamic gains from RTAs.

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4) What is the difference between the horizontal expansion and vertical expansion? Briefly discuss.

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14.7 LET US SUM UP

This unit discusses what Regional Trading Agreements are. We start with describing the basic characteristics of RTAs. In particular, we point out conflict between the aim of the WTO and the rationale of Regionalism. We then discuss the different types of RTAs depending on the different stages of economic cooperation among the member countries followed by a brief discussion on the evolution of RTAs in the world trading system. This unit then proceeds to define the gains to the member countries – static and dynamic – from the formation of RTAs. Finally, we spend some time to understand the dynamic nature of RTAs. Depending on the type of regionalism practiced – open versus unanimous – we find that RTAs may expand either in size (horizontal expansion) or further consolidate economic cooperation among existing members (vertical expansion). At the end, we provide a very simple game to illustrate that formation of multilateral RTAs, depending up on the timing of action by potential RTA members, may or may not culminate in global free trade.

14.8 KEY WORDS

Common Market	An RTA in which the member countries allow for free movement of factors of production among them.
Contemporary Regionalism	The pattern of regionalism that involves one or more small countries competing with each other in terms of reforms to link up with a large country.
Customs Union	An RTA in which the member countries, along with free trade among themselves, adopt a common external trade policy toward non-members.
Economic and Monetary Union	An RTA in which the member countries unify their monetary and fiscal policies.
Economic Integration	The process of reduction or abolition of tariff and non-tariff trade barriers coupled with unified economic policies, particularly, trade policies.
Free Trade Area	An RTA in which the member countries remove all tariffs and non-tariff barriers on imports from each other.
Horizontal Expansion	Expansion of an RTA through increase in the number of members in the RTA.
Open Regionalism	When any country can join an existing RTA, without requiring the consent of the existing members of that RTA.
Preferential Trading Arrangement	An RTA in which the member countries lower their respective tariff rates and other non-tariff barriers on their mutual trade.
Trade Creation	The gain from forming/joining an RTA arising due to shifting of production from inefficient domestic producer to an efficient producer in another member country.
Trade Diversion	When an RTA is formed, production might shift from an efficient non-member to an efficient member country.
Unanimous Regionalism	When a country needs consent from all the members of an existing RTA to join the RTA.

14.9 SUGGESTED REFERENCES

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14.10 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See section 14.2
- 2) See section 14.3
- 3) See sub-section 14.3.2

Check Your Progress 2

- 1) See Section 14.4
- 2) See sub-section 14.5.1
- 3) See sub-section 14.5.2
- 4) See sub-section 14.6.1 & 14.6.2

UNIT 15 INDIA AND MULTILATERAL TRADING SYSTEM *

Structure

- 15.0 Objectives
- 15.1 Introduction
- 15.2 India's Trade Agreements: An Overview
- 15.3 India's Multilateral Trade Agreements
 - 15.3.1 Asia-Pacific Trade Agreement
 - 15.3.2 ASEAN-India Free Trade Area
 - 15.3.3 South Asian Free Trade Area
 - 15.3.4 India-MERCOSUR PSA
 - 15.3.5 Global System of Trade Preferences among Developing Countries
- 15.4 India's other strategic groups
 - 15.4.1 The Group of Twenty (G20)
 - 15.4.2 BRICS
 - 15.4.3 The Quadrilateral Security Dialogue (QSD)
- 15.5 From GATT to WTO: India's Transformation
- 15.6 India's Contribution in the WTO
 - 15.6.1 Agriculture
 - 15.6.1.1 Subsidies
 - 15.6.1.2 SSM
 - 15.6.2 Non-Agricultural Market Access (NAMA)
 - 15.6.3 Non-trade Related Issues
 - 15.6.4 Trade Related Aspects of Intellectual Property Rights (TRIPS)
- 15.7 The Way Forward
- 15.8 Let Us Sum Up
- 15.9 Key Words
- 15.10 Suggested References
- 15.11 Answers/Hints to Check your Progress Exercises

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